

PRA Glossary - D

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data element

means a discrete fact or individual piece of information relating to a particular field within a data item.

data item

means one or more related data elements that are: (1) grouped together into a prescribed format or grouped together and "no standard format" is specified; and (2) required to be submitted by a firm.

dealing

means dealing in investments as principal or dealing in investments as agent.

dealing in investments as agent

means the regulated activity, specified in article 21 of the Regulated Activities Order (Dealing in investments as agent).

dealing in investments as principal

means the regulated activity specified in Article 14 of the Regulated Activities Order (Dealing in investments as principal).

debenture

means the investment, specified in article 77 of the Regulated Activities Order.

debt

includes an obligation to pay a sum of money under a negotiable instrument.

debts due or to become due

includes any debts which would become due if the friendly society were to exercise any right to which it is entitled to require payment or repayments of the same.

default

has the meaning given to that term in Article 4(4) of Commission Implementing Regulation 2016/1799.

deferred acquisition costs

has the meaning in the insurance accounts rules.

deficit reduction amount

means in respect of a defined benefit occupational pension scheme, the sum, determined by a firm in conjunction with the defined benefit occupational pension scheme's actuaries or trustees (or both), of the additional funding (net of tax) that will be required to be paid into that scheme by the firm over the following five year period for the purpose of reducing the firm's defined benefit liability.

defined benefit asset

means the excess of the value of the assets in a defined benefit occupational pension scheme over the present value of the scheme liabilities, to the extent that a firm, as employer, in accordance with the accounting principles applicable to it, should recognise that excess as an asset in its balance sheet.

defined benefit liability

means the shortfall of the value of the assets in a defined-benefit occupational pension scheme below the present value of the scheme liabilities, to the extent that a firm, as employer, in accordance with the accounting principles applicable to it, should recognise that shortfall as a liability in its balance sheet.

defined benefit occupational pension scheme

means an occupational pension scheme which is not a defined contribution occupational pension scheme.

defined contribution occupational pension scheme

means an occupational pension scheme into which a firm, as employer, pays regular fixed contributions and will have no legal or constructive obligation to pay further contributions if the scheme does not have sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

deposit

means the investment, specified in article 74 and defined in articles 5(2) and 5(3) of the Regulated Activities Order.

deposit back arrangement

(in relation to any reinsurance contract) means an arrangement whereby an amount is deposited by the reinsurer with the cedant.

derivative

means a contract for differences, a future or an option.

designated additional information

means such information in such form as may be required pursuant to Article 4 of the Commission Delegated Regulation (EU) 2017/1943 of 14 July 2016 supplementing MiFID II of the European Parliament and of the Council with regard to regulatory technical standards on information and requirements for the authorisation of investment firms as amended from time to time.

designated investment

means a security or a contractually-based investment (other than a funeral plan contract and a right to or interest in a funeral plan contract), that is, any of the following investments, specified in Part III of the Regulated Activities Order (Specified Investments), and along-term care insurance contract which is a pure protection contract: (1) life policy (subset of article 75 (Contracts of insurance)); (2) share; (3) debenture (article 77); (4) alternative debenture (article 77A); (5) government and public security (article 78); (6) instruments giving entitlements to investments (article 79); (7) certificate representing certain securities (article 80); (8) unit in a collective investment scheme (article 81); (9) rights under a stakeholder pension scheme (article 82(1)); (10) rights under a personal pension scheme (article 82(2)); (11) Greenhouse gas allowances which are auctioned (article 82A), where they are a financial instrument; (12) option; for the purposes of the permission regime, this is sub-divided into: (a) option (excluding a commodity option and an option on a commodity future); (b) commodity option and option on a commodity future; (13) future; for the purposes of the permission regime, this is sub-divided into: (a) future (excluding a commodity future and a rolling spot forex contract); (b) commodity future; (c) rolling spot forex contract; (14) contract for differences; for the purposes of the permission regime, this is sub-divided into: (a) contract for differences (excluding a spread bet and a rolling spot forex contract); (b) spread bet; (c) rolling spot forex contract; (15) rights to or interests in investments in (1) to (14) (article 89) but not including rights to or interests in rights under along-term care insurance contract which is a pure protection contract.

designated investment business

means any of the following activities, specified in Part II of the Regulated Activities Order (Specified Activities), which is carried on by way of business: (1) dealing in investments as principal, but disregarding the exclusion in article 15 (Absence of holding out etc); (2) dealing in investments as agent but only in relation to designated investments; (3) the regulated activity of bidding in emissions auctions (article 24A of the Regulated Activities Order) where it is carried on by a MiFID investment firm (other than a UCITS investment firm, as defined in the FCA Handbook) in relation to a financial instrument; (4) arranging (bringing about) deals in investments, but only in relation to designated investments; (5) making arrangements with a view to transactions in investments, but only in relation to designated investments; (6) operating a multilateral trading facility; (7) managing investments, but only if the assets consist of or include (or may consist of or include) designated investments; (8) assisting in the administration and performance of a contract of insurance, but only if the contract of insurance is a designated investment; (9) safeguarding and administering investments, but only if the assets consist of or include (or may consist of or include) designated investments; for the purposes of the permission regime, this is sub-divided into: (a) safeguarding and administration of assets (without arranging); (b) arranging safeguarding and administration of assets; (10) sending dematerialised instructions (article 45(1)); (11) causing dematerialised instructions to be sent (article 45(2)); (12) establishing, operating or winding up a stakeholder pension scheme; (13) establishing, operating or winding up a personal pension scheme; (14) providing basic advice on a stakeholder product (article 52B); (15) advising on investments, but only in relation to designated investments; for the purposes of the permission regime, this is sub-divided into: (a) advising on investments (except pension transfers and pension opt-outs); (b) advising on pension transfers and pension opt-outs; (16) agreeing to carry on a regulated activity in (1) to (11) and (15) (article 64); (17) managing a UCITS; (18) acting as trustee or depositary of a UCITS (article 51ZB); (19) managing an AIF; (20) acting as trustee or depositary of an AIF (article 51ZD); (21) establishing, operating or winding up a collective investment scheme.

designated investment firm

means an investment firm that has been designated by the PRA under Article 3 of Financial Services and Markets Act 2000 (PRA-regulated Activities) Order (S.I. 2013/556).

direct EU legislation

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 3(2) of the European Union (Withdrawal) Act 2018.

director

means (in relation to any of the following (whether constituted in the UK or under the law of a country or territory outside it)): (a) an unincorporated association; (b) body corporate; any person appointed to direct its affairs, including a person who is a member of its governing body and (in accordance with section 417(1) of FSMA): (i) a person occupying in relation to it the position of a director (by whatever name called); and (ii) a person in accordance with whose directions or instructions (not being advice given in a professional capacity) the directors of that body are accustomed to act.

disciplinary action

has the meaning given in section 64C of FSMA.

diversification effects

means the reduction in the risk exposure of UK Solvency II firms and (as appropriate) groups related to the diversification of their business, resulting from the fact that the adverse outcome from one risk can be offset by a more favourable outcome from another risk, where those risks are not fully correlated. [Note: Art. 13(37) of the Solvency II Directive]

document

This term is defined externally, please refer to: section 417(1) of FSMA

domestic liquidity sub-group

means the firms supervised by the PRA for liquidity purposes as if they formed a single entity as a result of a permission granted to those firms under 2.2 of the Liquidity (CRR) Part of the PRA Rulebook.

dormant account fund operator

a person with a Part 4A permission for operating a dormant account fund.